Westgate Valuation Advisory

Property valuation and advisory | Sydney Melbourne Brisbane

Banksia Freehold Aged Care Homes Valuation

Eight residential aged care homes, Newcastle and Hunter, NSW: going concern market value for fi

Prepared for: Quillwood Credit Partners (as lender)

Valuation date: 30 September 2026

Version: Final, for credit approval

Reference: WVA-SYD-26-1303

Date: 30 September 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Banksia Health Group Pty Ltd
ABN	78 814 276 360
Property	Eight freehold residential aged care homes, Newcastle and Hunter region, NSW
Purpose	First mortgage security
Basis of value	Market value as a going concern, with existing bed licences
Valuation date	30 September 2026
Prepared for	Quillwood Credit Partners (QCP-CO-2026-0488)
Prepared by	Westgate Valuation Advisory
Version	Final

Table 1. Valuation details

1. Summary of valuation

Westgate Valuation Advisory has been instructed by Quillwood Credit Partners to value eight freehold residential aged care homes owned by Banksia Health Group Pty Ltd for first mortgage security purposes. The homes are part of the security package for a proposed A$210.0M senior secured term loan to fund Banksia's A$298.0M acquisition of six Seabreeze Care homes. This report adopts the same basis as our separate valuation of those six homes (reference WVA-SYD-26-1302).

We assess the market value of the eight homes as going concerns, with their existing bed licences, at A$318.0M in aggregate as at 30 September 2026. The eight homes have 774 beds, which equates to an average of A$411k per bed. Weighted by beds, occupancy across the eight homes is 93.3%.

Together with the A$304.5M valuation of the six Seabreeze homes, the proposed security pool has an aggregate value of A$622.5M across 1,416 beds. This exceeds the condition in the indicative term sheet that the security value be not less than A$600.0M by A$22.5M, or 3.6% of the pool value. That headroom is modest relative to the value sensitivities set out in section 7, and we draw the lender's attention to it.

Our values include value attributable to the bed licences held by each home. We consider that component carries regulatory risk, which we discuss in section 6. We have not separately quantified the value of the licences.

2. Instructions and scope

We are instructed to provide an independent valuation addressed to Quillwood Credit Partners as lender. The valuation is for mortgage security purposes only and may not be relied on by any other party or for any other purpose.

The eight homes are the freehold homes in Banksia's existing network. Banksia operates 18 homes with 1,720 beds. The remaining ten homes, with 946 beds, are leasehold and are not offered as security. We have not valued them and express no view on them.

We inspected each of the eight homes in September 2026. We were provided with trading accounts for FY25 and year to date FY26, occupancy and resident mix data, bed licence and approved places schedules, capital expenditure plans and the Ellery Partners financial due diligence report (EP-FDD-2026-31) dated 30 September 2026.

3. The properties

The eight homes are located in Newcastle, Lake Macquarie and the Lower Hunter. All are freehold. All are operated by Banksia as approved residential aged care facilities and are fully operational. They range from 86 to 110 beds, with an average of 97 beds.

Merewether, Kotara, Lambton, Adamstown and Wallsend are in the established Newcastle and Lake Macquarie catchment, close to hospital and allied health services. Belmont is on the Lake Macquarie shoreline. Raymond

Terrace and Kurri Kurri are in the outer Hunter, with smaller catchments but less competing supply.

Home	Location	Beds	Share of beds
Banksia Merewether	Merewether	96	12.4%
Banksia Kotara	Kotara	104	13.4%
Banksia Lambton	Lambton	88	11.4%
Banksia Adamstown	Adamstown	92	11.9%
Banksia Wallsend	Wallsend	110	14.2%
Banksia Raymond Terrace	Raymond Terrace	94	12.1%
Banksia Kurri Kurri	Kurri Kurri	86	11.1%
Banksia Belmont	Belmont	104	13.4%
Total		**774**	**100.0%**

Table 2. Freehold homes valued

4. Market context

The new Aged Care Act commenced on 1 November 2025, introducing stronger quality standards and changes to accommodation pricing. The Larkspur Industry Insights sector report for Q3 2026 (LII-SR-0926-AC) records national occupancy of 90.6%, the highest since 2019. It also notes that funding under the AN-ACC model has improved operator margins since 2023, while labour costs remain the main pressure.

Transaction evidence for regional and outer metropolitan homes has been supported by that recovery in occupancy. Buyers are paying most for homes with high occupancy, modern room configuration (single rooms with ensuites), stable staffing and clean compliance histories. Homes that depend on agency staff, or that have older multi-bed rooms, trade at a discount per bed.

We note that the national occupancy recovery is a cyclical and policy-supported improvement, not a permanent condition. We have valued the homes on their current trading position and have not capitalised any occupancy improvement that Banksia expects to achieve.

5. Valuation approach

5.1 Method

We have used a capitalisation of earnings approach as the primary method. For each home we assessed maintainable earnings before interest, tax, depreciation, amortisation and rent (EBITDAR) from FY25 and year to date FY26 trading. We adjusted for non-recurring items, for owner or related-party costs, and for a market level of management and agency labour. The resulting earnings were capitalised at a rate reflecting location, building quality, scale and occupancy.

We adopted capitalisation rates of 10.5% to 12.0%. Rates at the lower end apply to the established Newcastle and Lake Macquarie homes with higher occupancy and stronger catchments. Rates at the upper end apply to the outer Hunter homes and to the larger Wallsend home, where building age and scale of capital spend are a consideration. The range is lower than the 11.0% to 12.5% adopted for the Seabreeze homes, reflecting higher occupancy and a more established metropolitan catchment.

5.2 Cross-check

We cross-checked the capitalised values against sales of comparable homes on a value per bed basis. The eight homes range from A$389k to A$429k per bed, which we consider consistent with the evidence for homes of comparable size, age and occupancy in the Newcastle and Hunter markets. Single-room homes with strong occupancy sit at the top of the range, and larger homes with older stock sit at the bottom.

5.3 Basis of value

Market value as a going concern means the estimated amount for which the business and property, operating as an approved aged care provider with its existing bed licences, would exchange between a willing buyer and willing seller in an arm's length transaction. The values are stated before deduction of any liabilities of the operator, including refundable accommodation deposits (RADs). The values are not a vacant possession or alternative use value.

6. Values, occupancy and bed licence risk

6.1 Values by home

Home	Beds	Value (A$M)	Value per bed (A$k)	Occupancy
Banksia Merewether	96	41.2	429	94.8%
Banksia Kotara	104	44.6	429	95.1%
Banksia Lambton	88	36.5	415	92.0%
Banksia Adamstown	92	38.9	423	93.5%
Banksia Wallsend	110	42.8	389	92.3%
Banksia Raymond Terrace	94	37.4	398	93.0%
Banksia Kurri Kurri	86	34.1	397	90.7%
Banksia Belmont	104	42.5	409	94.2%
Total / weighted average	**774**	**318.0**	**411**	**93.3%**

Table 3. Going concern values at 30 September 2026. Occupancy is FY25 average, weighted by beds in the total row.

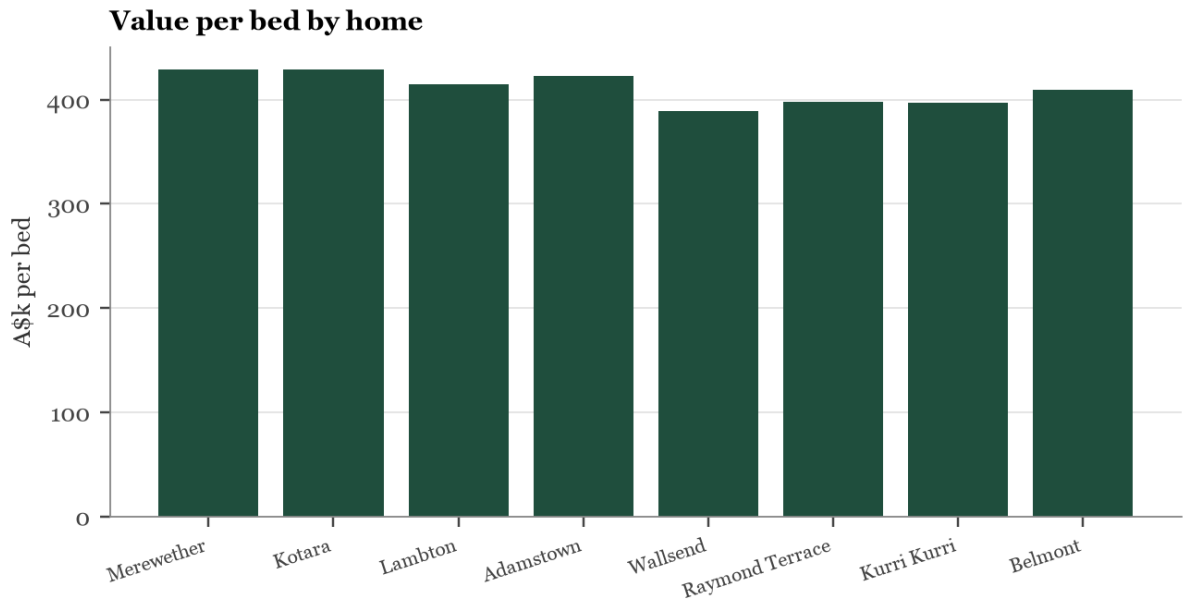


Figure 1. Value per bed, eight Banksia freehold homes. Portfolio average A$411k.

Value per bed is closely related to occupancy and to location. Merewether and Kotara have the highest occupancy and the highest value per bed. Wallsend has the lowest value per bed. It is the largest of the eight homes and its occupancy is mid-range, and capital spend on older sections of the building is a factor in the capitalisation rate we adopted.

6.2 Occupancy

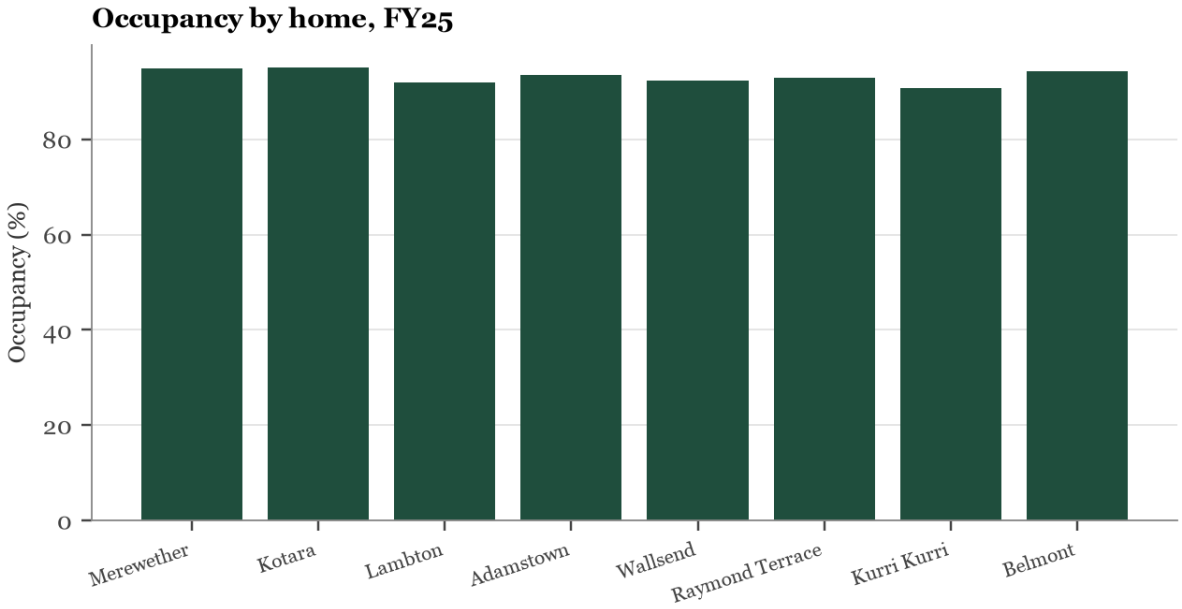


Figure 2. FY25 average occupancy by home. Weighted average 93.3%.

Occupancy across the eight homes averages 93.3%, in line with the 93.4% reported by Banksia for its full 18 home network and above the national figure of 90.6%. Every home is above the 88% portfolio occupancy covenant in the indicative term sheet, although that covenant is tested on the combined portfolio. Kurri Kurri is the lowest at 90.7%, which is still above the national average. We have valued each home on its actual occupancy and have not assumed improvement.

6.3 Bed licence risk

Our going concern values assume that each home retains its existing bed licences. We regard the value attributable to those licences as carrying regulatory risk and consider the lender should not treat it as equivalent to the value of the land and buildings.

- The new Aged Care Act commenced on 1 November 2025. Rules for the allocation and transfer of places, and for accommodation pricing, continue to be settled in regulations and guidance. The treatment of places over the term of a five year loan is therefore not certain.
- Licences are issued by, and remain subject to, the regulator. A change in policy could reduce the scarcity value of existing places, or restrict their transfer on a sale or enforcement.
- On enforcement, a purchaser would need regulatory approval to take over the homes and their bed allocations. The term sheet already makes approval of the transfer of the homes and bed allocations a condition precedent for the acquisition. It does not address approval on a later enforcement sale.
- A home that loses its licence, or is sanctioned for quality failures, would have a value well below the going concern figures in this report. Compliance history is therefore a direct driver of security value.

We have not been asked to, and have not, assessed a value excluding the licences. If the lender requires one, we can provide it as a separate instruction. We illustrate the effect of a general fall in going concern value in section 7.

7. Sensitivity

The values are sensitive to occupancy and capitalisation rates. The table below sets out the effect on the eight homes of changes in these inputs, and of a general fall in value that could arise from a regulatory change affecting bed licences.

In our Seabreeze valuation we reported that a two percentage point fall in occupancy would reduce the value of those six homes by approximately A$14.2M. A two percentage point fall across both sets of homes would therefore reduce the combined pool by approximately A$27.3M, from A$622.5M to A$595.2M. That is below the A$600.0M

condition in the term sheet. The condition is tested at close on the values in our reports, so it is met today, but the headroom is thinner than the sensitivity of the values to a modest operating setback.

Scenario	Value (A$M)	Change (A$M)	Change
Base case	318.0		
Occupancy down 2 percentage points	304.9	(13.1)	(4.1%)
Capitalisation rates up 50 bps	304.5	(13.5)	(4.2%)
Capitalisation rates up 100 bps	292.1	(25.9)	(8.1%)
General fall in value of 10%	286.2	(31.8)	(10.0%)

Table 4. Sensitivity of the eight Banksia homes

Against the facility itself, the position is stronger. For the loan-to-value ratio to reach the 50.0% covenant level on a A$210.0M facility, the pool value would need to fall to A$420.0M, a decline of 32.5%. The pro forma LVR at close is 33.7%.

8. Combined security pool

The combined pool is A$622.5M. The Seabreeze homes average A$474k per bed against A$411k for the existing Banksia homes. The difference reflects the higher Seabreeze values in the Central Coast and Charlestown, and in particular Seabreeze Cessnock at A$584k per bed, which is well above any other home in either set. We refer the lender to our Seabreeze report for the basis of that figure. We note that Cessnock was one of two Seabreeze homes with compliance notices in FY24 that have since been closed (Ellery Partners, EP-FDD-2026-31). Cessnock's value of A$52.6M is 8.4% of the combined pool and so is not individually critical to the headroom, but we recommend the lender reviews it closely.

Portfolio	Beds	Value (A$M)	Per bed (A$k)
Eight Banksia freehold homes	774	318.0	411
Six Seabreeze homes	642	304.5	474
Total security pool	**1,416**	**622.5**	**440**

Table 5. Proposed security pool

The A$304.5M Seabreeze valuation is A$6.5M, or 2.2%, above the A$298.0M purchase price. We do not regard the purchase price as evidence that our values are overstated, but the lender should be aware that the value of the acquired homes does not provide a margin over the price paid.

8.1 Refundable accommodation deposits

Ellery Partners reports RADs for the combined group of A$412.0M. Our values do not deduct them. RADs are owed to residents of all of the group's homes, including the ten leasehold homes that are not offered as security, so the full balance does not relate to the pool. The proposed facility of A$210.0M and the group's RADs together total A$622.0M, which is close to the security pool value of A$622.5M. How refund obligations rank against a mortgagee on enforcement is a legal question outside our scope, and we recommend the lender obtains advice on it. Larkspur Industry Insights notes that RADs can be withdrawn at short notice if confidence in an operator falls, and that is relevant to the liquidity of the borrower as well as to the security.

9. Assumptions and conditions

- Title: we have assumed each property is freehold, with good and marketable title, and is free of encumbrances, easements or restrictions that would affect value. We have not searched title.
- Existing finance: we have assumed the A$18.0M of existing equipment finance is not secured by mortgage over the properties. The lender's solicitors should confirm this.

- Licences and approvals: we have assumed that each home holds, and will continue to hold, current approvals and all bed licences as provided to us, and that no sanctions or notices are in force other than those disclosed.
- Condition: we have not carried out a structural or building services inspection. We have relied on the capital expenditure plans provided and have allowed for them in our capitalisation rates.
- Environmental and contamination: we have assumed no contamination or adverse environmental condition.
- Information: we have relied on information provided by Banksia and its advisers and have not audited it. If any of it proves to be inaccurate, our values may change.
- Date: the values are as at 30 September 2026. Aged care values can move with occupancy and policy, and we recommend the valuation is updated if it is relied on more than three months after this date, or on a material change in circumstances.

10. Reliance and limitations

This report has been prepared for Quillwood Credit Partners (as trustee and manager of the participating funds) for first mortgage security purposes and may not be relied on by any other party. It may be shared with the lender's professional advisers on a non-reliance basis. Westgate Valuation Advisory accepts no liability to any other party. We have no interest in the properties, the borrower, the sponsor or the facility, and our fee is not contingent on the value reported or on the transaction proceeding.

11. Sign-off

Valuer	Helen Marchetti, Certified Practising Valuer, Director
Reviewed by	David Okonkwo, Certified Practising Valuer, Senior Director
Firm	Westgate Valuation Advisory
Reference	WVA-SYD-26-1303
Date	30 September 2026

Table 6. Valuer sign-off